

Broadcom Q4 2025 Earnings

Blind Sentiment & Directional Score: Outlook/guidance only

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July 30, 2026

Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Outlook/guidance only** as the **ONLY** report content. The other sections (the reported financial results, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Broadcom Inc. (AVGO)
Report	Fiscal Q4 2025
Release date	Thursday 11 December 2025, after close
Earnings call	5:00pm ET
Source	Motley Fool transcript
Read mode	cold; management outlook/guidance only, no reported results, no Q&A, no price chart
Time to produce	35 minutes

Source material (read **ONLY** this)

Forward guide (assigned source: outlook/guidance only)

- “For Q1 2026, we expect consolidated revenue of approximately \$19.1 billion, up 28% year on year” (Hock Tan, CEO).
- “We forecast semiconductor revenue of approximately \$12.3 billion, up 50% year on year”; “We expect Q1 AI semiconductor revenue of \$8.2 billion, up approximately 100% year on year” (Kirsten Spears, CFO).

- Infrastructure software approximately \$6.8B, up 2% year on year. Q1 adjusted EBITDA approximately 67% of revenue.
- “We expect Q1 consolidated gross margin to be down approximately 100 basis points sequentially, primarily reflecting a higher mix of AI revenue” (Spears).
- “We have \$73 billion of backlog in place... that we anticipate shipping over the next eighteen months” (Hock Tan, with AI revenue expected “to continue to accelerate and drive most of our growth”).

Your scoring: fill in below, then seal

1 Sentiment score

Score: +0.80

Rationale. AI semiconductor revenue guided to double year on year, total revenue up 28%, and a \$73B backlog with an eighteen-month shipping window behind it.

2 Directional signal

Signal: BUY

Rationale. A guide that doubles the AI line with quantified backlog clears almost any bar. BUY.

3 Structured summary

- **What the source shows.** AI revenue guided to roughly \$8.2B, about double the prior year.
- **What the source cannot show.** No reported quarter, so cannot check the base the guide builds from.
- **Expectations bar.** Quantified backlog is exactly what a market worried about AI durability wants.
- **Conviction.** High conviction: the numbers are specific and the backlog is dated.

4 Evidence quotes

1. “For Q1 2026, we expect consolidated revenue of approximately \$19.1 billion, up 28% year on year” (Hock Tan, CEO).
2. “We forecast semiconductor revenue of approximately \$12.3 billion, up 50% year on year”; “We expect Q1 AI semiconductor revenue of \$8.2 billion, up approximately 100% year on year” (Kirsten Spears, CFO).
3. Infrastructure software approximately \$6.8B, up 2% year on year. Q1 adjusted EBITDA approximately 67% of revenue.

— **SEALED** —

Overnight move and call verification

AVGO close, 11 December 2025 (release day)	\$406.37
AVGO open, 12 December 2025	\$379.96
Overnight move	−6.50%

Call verification

- HOLD band test: $|-6.50\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **BUY**, correct call **SELL**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	−6.50%
D+1 close	−11.43%
D+3 close	−16.01%
D+5 close	−18.82%
D+10 close	−13.35%
D+20 close	−13.33%